

the East Asian crisis, Resurgent India bonds helped garner around \$5 billion from NRIs, boosting the forex reserves.

Will the RBI explore similar such measures this time? The difference this time is that India's macroeconomic fundamentals are stronger, say analysts.

"The external position is more resilient, with contained current account deficit, elevated foreign exchange reserves, and improved policy credibility. Even after accounting for net forward short positions, reserves at roughly \$630-650 billion provide an import cover of about 11 months on a balance of payments basis, and somewhat lower on a merchandise basis," Kotak Mutual Fund said in its analysis on April 9.

It pointed out that since FY20, India's current account deficit has averaged close to 1% of GDP, which is a clear improvement compared with the 2009-13 period, when the deficit widened sharply, peaking above 4% of GDP.

But Kotak MF warned that a sustained increase in crude oil prices or a prolonged weakening in global demand could widen the trade deficit and exert pressure on the current account. At the same time, the global financial environment has become less supportive, it said.

"While a certain scale of depreciation can contribute to trade competitiveness and be viewed as a pressure valve, authorities will be careful to not allow the unit to correct sharply for the fear of hurting purchasing power, weighing on investor confidence and spurring inflationary pressures," says Rao of DBS Bank.

The RBI will only go in for measures like special FCNR deposits as a last resort, feels Geojit's

SHARP MOVE

► The rupee has seen steep depreciation in 2026

► After dipping to an all-time low below 95 to the dollar, it has recovered slightly in response to RBI measures



SOURCE NSE

Vijayakumar. "In 2013, the rupee depreciated 25% in three months. India was among the fragile five countries. That is not the case now; the macros are strong," he says. However, he warns that the outlook is too uncertain and the scenario may well change depending on how the conflict pans out. He believes the RBI will continue to intervene in the market, selling dollars, when necessary.

The MPC, after having slashed the repo rate by 125 basis points over 2025 from 6.5% to 5.25%, left it unchanged in its latest meeting on April 8. Several analysts say the central bank is likely to continue its pause for much of 2026. However, should oil prices remain around \$100 and inflation shoot up, the MPC might be compelled

to raise interest rates towards the end of the current financial year.

For the moment, OMCs have received some respite with the government cutting excise duty on petrol and diesel. "They may raise prices at some stage and that will be inflationary. From the monetary policy perspective, there won't be any more rate cuts now, there can only be a rate hike, and I feel there will be one by the end of the financial year," says Bank of Baroda's Sabnavis.

Nomura expects the RBI to leave rates unchanged through 2026 because of "exceptionally low inflation", which offers it a "longer runway" to evaluate the impact of the shocks.

A lot depends on how long the war in West Asia drags on. **BT**